AI INDUSTRY INSIGHTS

Where are IT jobs going, 2026–2033?

A scenario projection of where IT hiring goes over the next seven years: by type of employer, onshore and in India. For IT professionals and recruiters.

STRAVORIS RESEARCH

stravoris.com · October 2026

Where are IT jobs going, 2026-2033?

A scenario projection from a system-dynamics model of IT employment. It shows directions and how firm they are, not a forecast.

This note is for IT professionals looking for work and for the recruiters who place them. It asks which kinds of employer, and which region, are likely to be hiring over the next seven years. It compares each year with 2026, today. **Hiring** here means jobs filled from outside an employer: people hired from the job market plus people who move in from another type of employer. It includes replacing people who leave, so an employer that is not growing still hires. Promotions do not count. **Jobs** means the number of people employed, so a change in jobs is the net result of hiring and leaving.

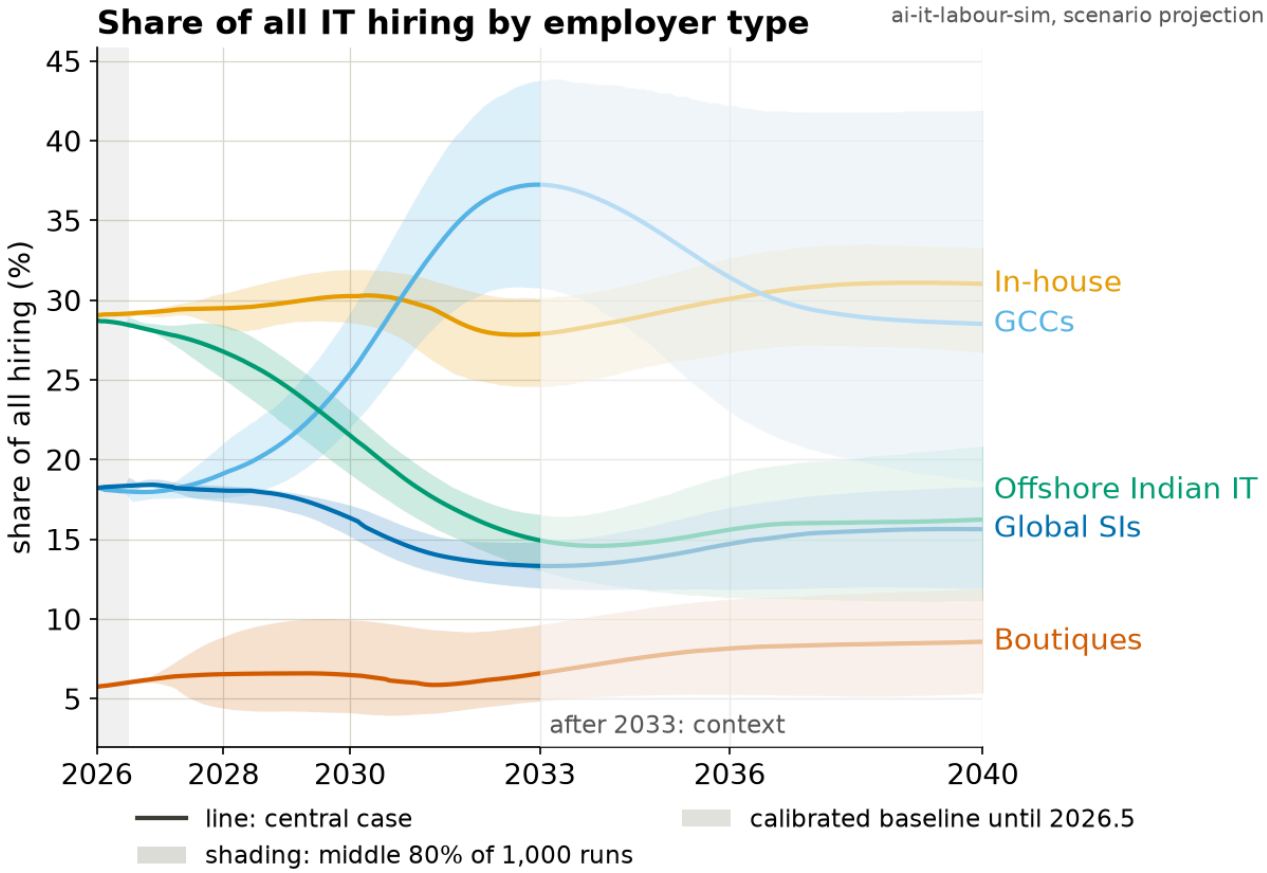
Summary

- Total IT hiring over 2026-2033 averages 3% below its 2026 level in the central case (3% below at the faster adoption pace), and from 11% below to 11% above across the uncertain inputs: no firm rise or fall. In 2033 itself it is 5% lower than in 2026.
  Rises in 3 of 12 scenarios (slow AI, cheaper IT work draws in demand, faster demand growth), and at the high end of the uncertainty range; falls in the rest
- GCCs take 25% of all IT hiring over 2026-2033, against 18% in 2026 (23-29% across the uncertain inputs; 27% at the faster adoption pace). By 2033 their share reaches 37%, about double 2026.
  Holds in every case
- Offshore Indian IT firms take 23% of hiring over 2026-2033 against 29% in 2026 (15% by 2033), and global SIs 16% against 18% (13% by 2033). Clients' in-house teams (29% against 29%) and boutiques (6% against 6%) show no firm change.
  Holds in every case
- India takes 50% of IT hiring over 2026-2033 against 48% in 2026, and 55% by 2033, counting onsite roles at offshore Indian IT firms as onshore jobs. Leaving those roles out, India takes 52% against 51% (57% by 2033).
  Holds in all 12 scenarios at both paces, but not at the low end of the uncertainty range (with onsite roles left out, it also fails in the compute-cost shock)
- Jobs follow the same pattern: by 2033 GCC jobs about double (101% more), offshore Indian IT jobs fall 31% and global SI jobs fall 20%. In-house and boutique jobs change little, with no firm direction.
  Holds in every case
- Onshore, IT unemployment rises from 7.0% to 8.0% by 2033 in the central case, and hires per job seeker fall 20%.
  Unemployment rises in 11 of 12 scenarios and across the uncertainty range (at the faster pace its low end is about flat, 0.02 points lower); hires per job seeker lean down but with no firm direction (they fall in 9 to 11 of 12 scenarios depending on the adoption pace)
- In India, the chance of getting hired changes little: unemployment moves from 5.9% to 6.2% and hires per job seeker are 6% lower in the central case, with no firm direction either way.
  No firm direction: unemployment rises in 7 to 9 of 12 scenarios depending on the adoption pace, and falls in the rest; it can go either way across the uncertainty range

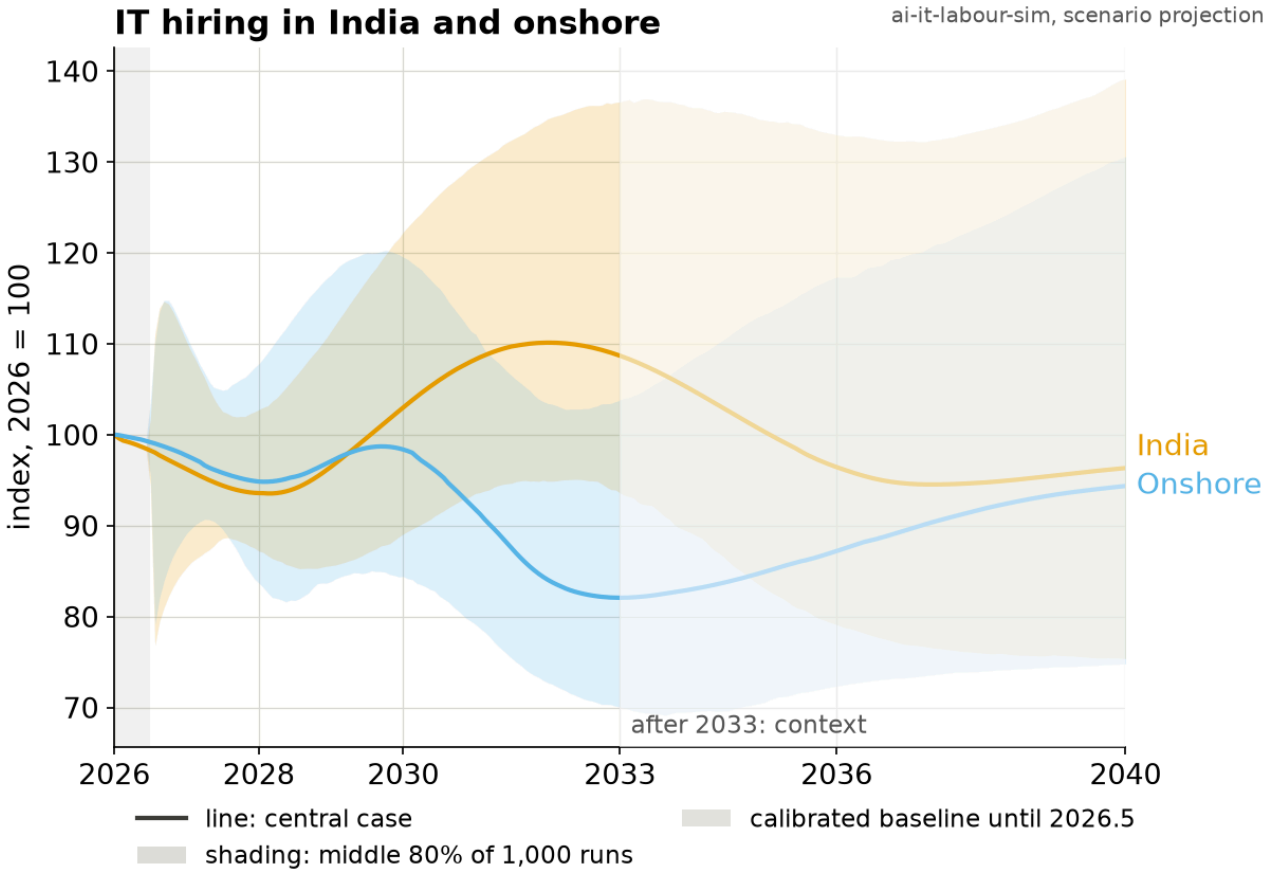
How to read the marks. "Holds in every case" means the direction is the same in all 12 scenarios, at both paces of AI adoption, and across the middle 80% of 1,000 runs with uncertain inputs (the uncertainty range). Otherwise the mark counts the scenarios where it holds and names the rest; the full lists are under How firm this is. The hiring findings (the first four) are tested over 2026-2033 as a whole: total hires over the period and each group's share of them. The findings on jobs and unemployment (the last three) are tested in 2033. Every number quoted is the central case: the calibrated model with its inputs at their central values and the central pace of AI adoption.

A note on 2033. In the scenario with a temporary jump in AI computing costs, hiring collapses during the shock and rebounds above normal afterwards, peaking around 2033. That rebound makes it the only scenario in which onshore unemployment ends 2033 below its 2026 level, and it gives the highest 2033 hiring of every employer type and region; testing hiring over the whole period keeps the rebound from deciding the hiring findings.

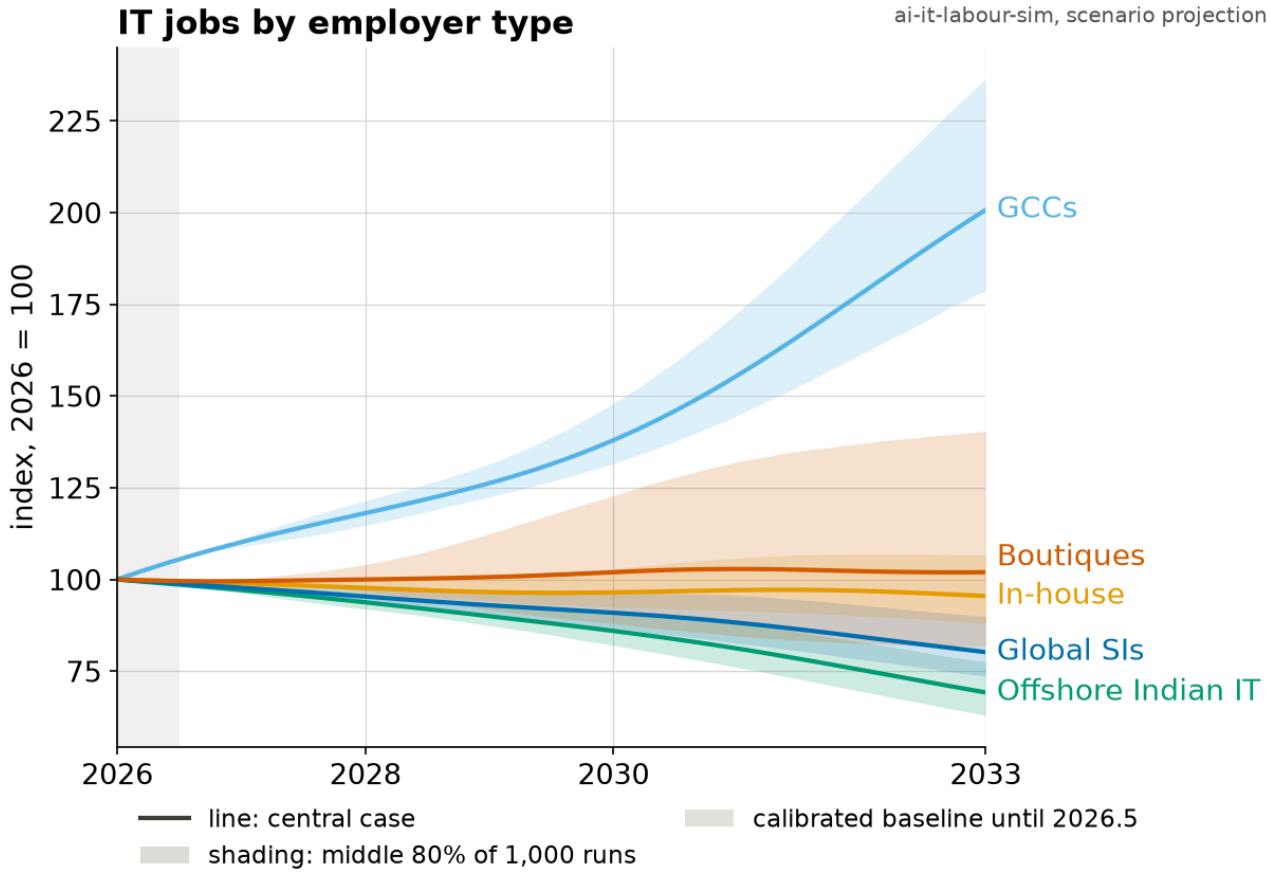
Beyond 2033. In the central case, hiring by GCCs peaks around 2033 and then eases, because the model assumes clients' appetite for new GCCs fades after 2030. By 2040 GCCs' share of hiring is back to 29%, still above the 18% of 2026.



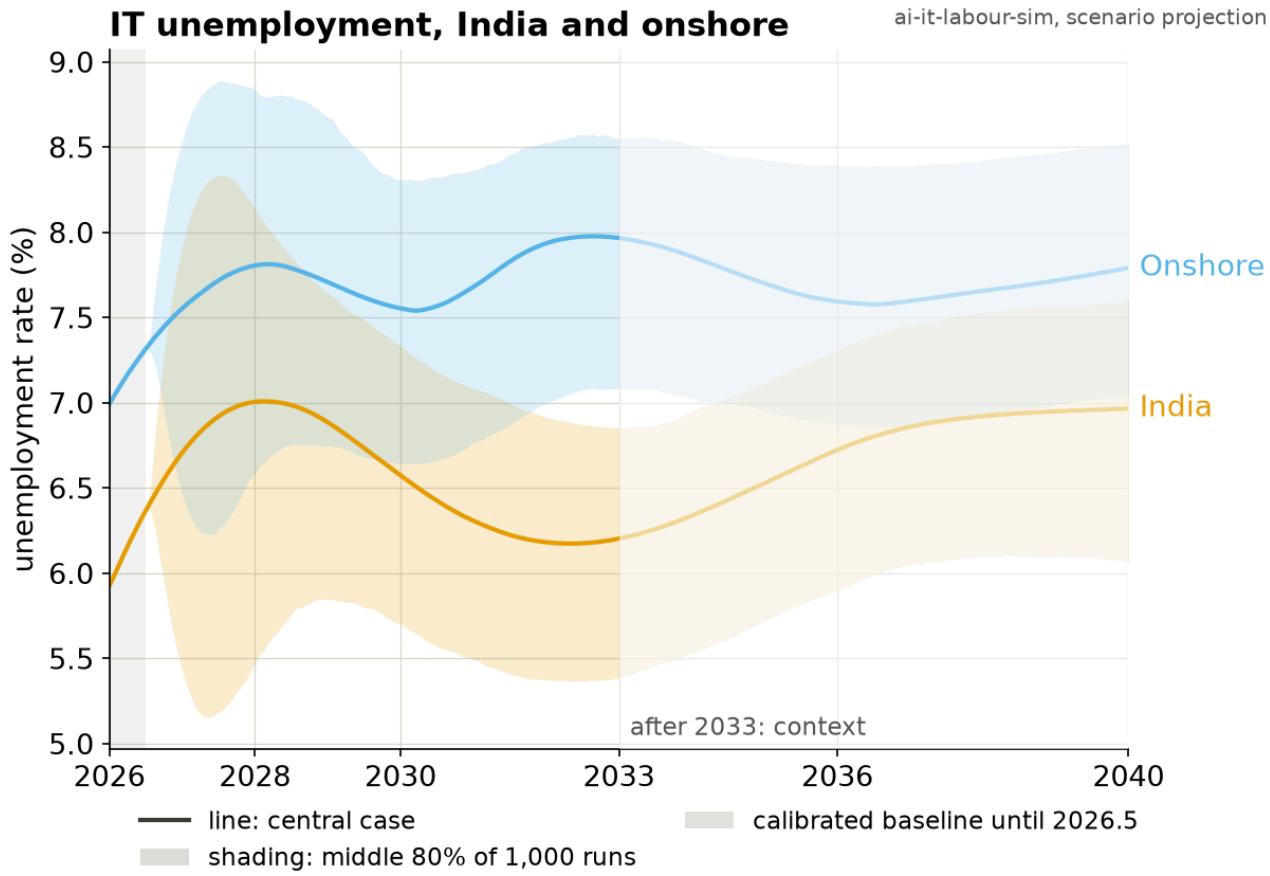
Lines: the central case; shading: the middle 80% of 1,000 runs with uncertain inputs. GCCs rise from 18% to 37% of all hiring by 2033, while offshore Indian IT firms fall from 29% to 15%.



Hiring, including replacements, against its 2026 level. In the central case hiring in India is 9% higher in 2033 and onshore hiring 18% lower, but the ranges are wide. The sudden widening of the shading just after mid-2026 is almost entirely one uncertain input switching on: how far AI cuts junior roles.



People employed by each type of employer, with 2026 = 100. In the central case GCC jobs reach 201 by 2033, offshore Indian IT 69 and global SIs 80; in-house teams and boutiques stay close to 100.



Unemployment among IT workers in each region's job market. In the central case it is higher onshore and rises from 7.0% to 8.0% by 2033; in India it ends close to where it started (5.9% to 6.2%). The sudden widening of the shading just after mid-2026 is almost entirely one uncertain input switching on: how far AI cuts junior roles.

How firm this is

Each finding was tested in every scenario, at both paces of AI adoption, and across the uncertain inputs. Hiring findings are tested over 2026-2033 as a whole, the others in 2033. Scenario names: slow AI: AI improves slowly; fast AI: AI improves fast; compute-cost shock: a temporary jump in AI computing costs (2027 to mid-2029); budget downturn: an IT budget downturn (2027-2029); cheaper IT work draws in demand: cheaper IT work draws in more demand; demand stalls: demand growth stalls after 2026; faster demand growth: demand grows faster after 2026; GCC appetite persists: clients keep their full appetite for GCCs; GCC appetite fades: clients' appetite for GCCs fades away.

Finding	Tested	Firmness
Total hiring: no firm rise or fall	2026-2033 as a whole	Rises in 3 of 12 scenarios (slow AI, cheaper IT work draws in demand, faster demand growth), and at the high end of the uncertainty range; falls in the rest (central case, fast AI, strict regulation, light regulation, compute-cost shock, budget downturn, demand stalls, GCC appetite persists, GCC appetite fades)
GCCs take a much larger share of hiring	2026-2033 as a whole	Holds in every case
Offshore Indian IT and global SIs: smaller shares of hiring	2026-2033 as a whole	Holds in every case
India's share of hiring rises	2026-2033 as a whole	Holds in all 12 scenarios at both paces, but not at the low end of the uncertainty range; with onsite roles left out: holds in 11 of 12 scenarios at both paces; fails in compute-cost shock, but not at the low end of the uncertainty range
GCC jobs about double; offshore Indian IT and global SI jobs shrink	in 2033	Holds in every case
Onshore unemployment rises	in 2033	Holds in 11 of 12 scenarios at both paces; fails in compute-cost shock, but not at the low end (faster pace) of the uncertainty range (about flat there: 0.02 points lower)
Onshore hires per job seeker fall	in 2033	Hires per job seeker fall in 9 of 12 scenarios (central case, fast AI, strict regulation, light regulation, budget downturn, cheaper IT work draws in demand, demand stalls, GCC appetite persists, GCC appetite fades), and at the central pace only in 2 more (slow AI, faster demand growth), and at the low end of the uncertainty range; rise in the rest (compute-cost shock); rise at the high end of the uncertainty range
India: no firm change in the chance of getting hired	in 2033	Unemployment rises in 7 of 12 scenarios (central case, fast AI, strict regulation, light regulation, demand stalls, GCC appetite persists, GCC appetite fades), and at the central pace only in 2 more (cheaper IT work draws in demand, faster demand growth), and at the high end of the uncertainty range; falls in the rest (slow AI, compute-cost shock, budget downturn)

What drives the two main findings. Across the uncertain inputs, GCCs' share of hiring over 2026-2033 depends most on how strongly clients choose where to send work by cost, then how much GCCs gain from their own scale and how fast AI capability improves. Total hiring over 2026-2033 depends most on how fast demand for IT work grows after 2026, then how fast the cost of checking AI-made work falls and how far AI cuts junior roles. The same inputs lead at the faster adoption pace.

Share of all hiring, by employer type and region (%, central case unless a range)

	2026	2033	2033 faster AI	2033 range	2026-2033 as a whole	2026-2033 range
Clients' in-house teams	29	28	27	25-30	29	28-31
GCCs (captive centres in India)	18	37	39	31-44	25	23-29
Global SIs	18	13	13	12-15	16	16-17
Offshore Indian IT firms	29	15	14	13-17	23	21-24
Boutiques	6	7	7	5-10	6	5-9
India	48	55	56	49-60	50	46-53
Onshore, with onsite visa roles	52	45	44	40-51	50	47-54
Onshore, without onsite visa roles	46	42	41	36-48	45	42-49

Jobs and hiring, 2026 = 100

	Jobs, 2033	Jobs, 2033 range	Hiring, 2026-2033 average	Hiring, 2033	Hiring, 2033 range	Jobs, 2040
Clients' in-house teams	95	88-107	98	91	77-112	93
GCCs (captive centres in India)	201	179-236	136	193	160-251	243
Global SIs	80	74-90	87	69	59-89	70
Offshore Indian IT firms	69	63-78	76	49	40-63	49
Boutiques	102	82-140	107	109	83-167	121
India	108	99-122	102	109	94-137	108
Onshore, with onsite visa roles	90	82-102	94	82	70-104	86
Onshore, without onsite visa roles	91	84-104	95	86	72-109	89
All IT jobs	98	91-110	97	95	84-116	96

Central: the central case at the central adoption pace. Range: the middle 80% of 1,000 runs. Onsite visa roles are jobs at client sites abroad, held by visa workers hired by offshore Indian IT firms from the India job market.

How hard it is to get hired

	2026	2033 central	2033 faster AI	2033 range	2033 across scenarios
Onshore: unemployment (%)	7.0	8.0	7.8	7.1-8.6	5.1-8.6
Onshore: hires per job seeker (2026 = 100)	100	80	86	70-104	48-210
Onshore: time to fill a role (2026 = 100)	100	157	151	115-210	146-224
India: unemployment (%)	5.9	6.2	5.8	5.4-6.9	3.8-6.8
India: hires per job seeker (2026 = 100)	100	94	99	81-121	75-222
India: time to fill a role (2026 = 100)	100	137	139	108-181	116-212

Hires per job seeker is hires from a region's job market in a year over the people looking for work there. Employers take longer to fill roles in both regions in every case. A shift in the mix of levels being hired explains little of this: in the central case 96% of the rise onshore and 95% in India comes from roles taking longer to fill at the same level. In the model, experienced roles fill more slowly because fewer junior staff are promoted into them as junior hiring is cut, and hires from the job market do not make up the gap. In the scenario column, the highest hires per job seeker and time to fill and the lowest unemployment come from the temporary jump in AI computing costs: hiring collapses during the shock and then rebounds above normal, with the rebound peaking around 2033.

AI's part

AI is not an employer in the model; it acts by making each person's work go further. In the central case, by 2033 the same work takes 16% less effort than in 2026 because of AI (11-21% across the uncertain inputs; 17% at the faster pace). Work delivered grows 22% while the number of jobs falls 2%: AI, not more people, absorbs the extra work.

Assumptions and limits

- **Projections, not forecasts.** The results show what the model's structure implies under each scenario. The path to about 2030 rests on data for 2024-2026; later years rest more on structural assumptions.
- **Shares and changes only.** The model counts people on its own scale, not in national numbers, so this note gives shares and percentage changes, never head counts.
- **One onshore region.** "Onshore" is one generic region for clients' home markets, which the model specification defines as North America and Europe together; it is not any one country.
- **Coverage.** The model has five employer types and two regions. It leaves out freelancers and contractors, nearshore centres, buying software as a service instead of building, and business staff doing IT work themselves.
- **Visas.** Onshore work-visa tightness is held at its calibrated level (0.3 on a scale where 0 is open and 1 is closed) in every year from 2024 to 2040, in every run. Scenarios that tighten or relax visas are left out of this note.
- **The GCC wave is an assumption.** The rise of GCCs is mostly an assumed trend, fitted to GCC numbers up to 2026 and one outlook for 2030. In the central case clients' appetite for new GCCs peaks in 2030 and fades to half its peak by 2035. It is among the least evidenced inputs, and every split of work between GCCs and the other firms after 2030 depends on it.
- **AI adoption pace is the largest unknown.** The 2024-2026 data show the early adoption path but not how fast it continues, so every result is shown at a central and a faster pace.
- **Feedback effects come from outside evidence.** The strength of the model's feedback effects (for example, GCCs growing more attractive as they grow) comes from case evidence and industry data, not from the 2024-2026 data. The GCC scale advantage is capped, and the cap binds from about 2032.
- **Other simplifications.** Visa enforcement hits every client sector alike, a new GCC needs no set-up time of its own, and the size of the rebound after a temporary shock is not validated against data.

Method in brief

The model. A system-dynamics model of AI's effect on IT employment for India and onshore, 2024-2040. Client demand for IT work is split between clients' in-house teams, GCCs, global SIs, offshore Indian IT firms and boutiques. AI adoption raises the work each person delivers; employers hire to keep up with the work they hold, replace leavers and lay off when overstaffed; job seekers, unemployment and time to fill follow from that. It is calibrated to 2024-2026 data and includes feedback effects such as GCCs' scale advantage and vendors cutting costs under margin pressure.

Scenarios and uncertainty. The calibrated path runs unchanged until mid-2026; from then on, scenarios and uncertain inputs act. 12 scenarios were run, the central case and the eleven named under How firm this is. The uncertainty range comes from 1,000 runs drawing 21 uncertain inputs at once (Latin hypercube sampling, with a fixed seed), the same draws at both adoption paces. Left out: the two visa scenarios (visa policy is held at its calibrated level), and an extreme stress test (fast AI plus a price shock on offshore Indian IT firms), which is not a plausible future; in it, offshore Indian IT's share of hiring falls to 8% by 2033.

The jump after mid-2026. All uncertain inputs switch on in mid-2026, and one of them, how far AI cuts junior roles, changes how many juniors employers want at once. Tried one at a time, it accounts for 99% of the immediate jump in hiring and 87% of the jump in onshore unemployment over the following half-year; the other inputs act slowly. So the sudden widening of the shading on the charts is that one input taking effect, not a sudden change in the market.

Hiring figures. Hiring figures are read from the model's internal values, not its standard outputs: the model reports hires only for juniors and only by job market, so hires by employer type and the number of job seekers were read from each step of the model's calculation. Jobs filled from outside are hires from the job market plus moves in from another type of employer (every job move in the model is between employer types); hires from the job market alone are the view for people out of work. Both exclude promotions. These internal values were checked three ways against the model's own outputs and its stock-flow balance, in every run.

Version. ai-it-labour-sim 0.2.0, commit `d4ae41de8a569817a7c55a884f3222a60b6a24bf`, tagged `analysis-ready`. Reproduce with `uv run --frozen python temp/analysis/a1-where-it-jobs-go/run.py` from the repository root.

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